

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MUHAMMAD RANA, *Complainant*

v.

MICHELLE FRANKLIN, D.B.A. "THE RIGHT MOVE" INC.,
Respondent.

DOCKET NO. 19-03

Served: May 12, 2020

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge.*

INITIAL DECISION¹

I. INTRODUCTION

A. Overview and Summary of Decision

Complainant Muhammad Rana filed a complaint in this proceeding alleging violations of the Shipping Act of 1984 ("Shipping Act") for failure to pay shipping fees for a shipment of household goods from the United States to Pakistan. Respondent Michelle Franklin, doing business as The Right Move, Inc. ("The Right Move"), admits that she failed to pay the ocean shipping charges, blaming problems with prior shipments, but disputes that the failure was willful, that she violated the Shipping Act, and the request for damages. Both parties in this proceeding acted *pro se*, representing themselves.

Respondent refused to fully participate in discovery, participating enough to avoid a dismissal or default but not enough to provide meaningful information to Complainant. Because Respondent only selectively responded to discovery requests, Complainant was permitted to rely on her lack of response as factual support for his case. This unique procedural posture distinguishes it from other cases.

As discussed more fully below, the evidence supports a finding that Respondent violated section 41102(a) (formerly 10(a)(1)) of the Shipping Act by utilizing unjust or unfair means to obtain ocean transportation at less than the rates that otherwise would be applicable. Complainant withdrew an additional claim of a violation of section 41102(c) based in part on online complaints regarding Respondent, stating that the "new and revised rules surrounding the

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

elements of 41102(c) make it overly burdensome to overcome, especially for a *pro se* Complainant with no legal background.” Motion to Amend at 1.

B. Procedural Background

On May 13, 2019, the Commission’s Office of the Secretary served a notice of filing of complaint and assignment which required Respondent to respond to the complaint. A timely response was not received from Respondent.

On June 10, 2019, Complainant filed a motion seeking an entry of default and summary decision on default. On July 25, 2019, an order to show cause was issued. Respondent filed limited responses by email and Complainant filed multiple motions. On October 30, 2019, an order denying motions for default and summary decision, to strike, and to compel; discharging the show cause order; and a scheduling order (“Order Denying Default and Summary Decision”) was issued.

On January 6, 2020, an order was issued granting Complainant’s second motion to compel and requiring Respondent to answer discovery by January 15, 2020. On January 15, 2020, Respondent filed a response to discovery providing limited information and declining to provide further details for information she deemed “irrelevant.” On January 23, 2020, Complainant filed a motion seeking a finding of facts as a discovery sanction and moving for default decision and Respondent filed a response to the motion.

On February 6, 2020, an order was issued denying Complainant’s motion for finding of facts and default decision but permitting Respondent’s failure to provide documents and answer interrogatories to support an inference that those responses would have been adverse to her interests. On February 12, 2020, an order was issued denying a motion for clarification.

On February 26, 2020, Complainant filed his brief, proposed findings of fact (“CPFF”), appendix (“C. App.”), and a motion to amend the complaint. On March 6, 2020, Complainant filed a supplement to the motion to amend the complaint.

On March 17, 2020, Respondent filed her opposition brief and appendix with four exhibits. On March 23, 2020, Respondent filed proposed findings of facts (“RPFF”) and an expanded appendix with sixteen exhibits (“R. App.”).

On April 9, 2020, Complainant filed his reply brief. On April 9, 2020, Respondent sent an email responding to the reply brief. Although typically not permitted, as Respondent is unrepresented, the email will be treated as a sur-reply and will be admitted into the record. The Office of the Secretary is hereby requested to include this email in the record as a sur-reply.

C. Motion to Amend

The Complainant initially alleged a violation of 46 U.S.C. § 41102(c). On September 10, 2019, Complainant also alleged a violation of 46 U.S.C. § 41102(a). Respondent raised no objections to the new allegation. The October 30, 2019, order granted the request to amend the complaint to add the section 41102(a) claim. Order Denying Default and Summary Decision at 3.

On February 26, 2020, Complainant filed a motion to amend the complaint, which states:

Complainant hereby requests the Honorable Judge to withdraw Complainant's allegation that the Respondent violated 46 USC 41102(c) from the Complaint. The new and revised rules surrounding the elements of 41102(c) make it overly burdensome to overcome, especially for a pro se Complainant with no legal background.

Furthermore, Respondent's failure to honor Complainant's discovery coupled with the fact that time for discovery is over, the Complainant has decided not to pursue the allegation that the Respondent violated 46 USC 41102(c). However, the Complainant will continue to pursue the claim and allegation in this complaint that the Respondent violated 46 USC 41102(a).

Motion to Amend at 1. Respondent did not object to the motion to amend.

Complainant initially argued that online complaints should be sufficient to establish that Respondent's conduct was a pattern or practice. Respondent's refusal to fully participate in discovery made establishing this claim more challenging for Complainant, particularly as one of the few discovery questions she answered was a denial that prior section 41102(c) claims had been filed against The Right Move. In addition, Complainant is aware that the Commission's standard for evaluating section 41102(c) complaints recently changed and that the question of what evidence would be sufficient is developing. Complainant's decision to withdraw his section 41102(c) complaint is reasonable and will be granted.

In the supplemental motion to amend the complaint, the Complainant requests a change to the Respondent's name in the Complaint.

The Respondent to date has not used her legal name in the Complaint proceedings. The Respondent's legal name is "Michal Franklin," whereas "Michelle Franklin" is a closely spelled alias. Therefore, the Complainant hereby requests that the Respondent's name be revised in the Complaint to reflect "Michal Franklin A.K.A Michelle Franklin D.B.A The Right Move, Inc."

Supplemental Motion to Amend at 1. Respondent did not object to the motion to amend.

According to the New York State Department of State, Division of Corporations, Entity Information, The Right Move, Inc's chief executive officer is "Michal Franklin" and the filing date is listed as Jan. 06, 2011, consistent with her FMC license, obtained in 2011. https://appext20.dos.ny.gov/corp_public/CORPSEARCH.ENTITY_SEARCH_ENTRY. Michelle Franklin also uses the first name Micah in some of the documents in the file. Respondent's Answer to Complainant's Discovery Request (titled Motion to Compel) at 2. It appears that the different spellings all refer to the same individual and Respondent did not contest that she uses a different spelling of her name. Accordingly, this decision applies to Respondent, who also spells her first name as Michal and Micah.

Complainant's motion to amend the complaint and supplemental motion to amend the complaint are hereby **GRANTED**.

D. Evidence

Under the Administrative Procedure Act ("APA"), an administrative law judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact and replies thereto, and appendices filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations of the complaint or the defenses thereto. Administrative adjudicators are "not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are 'material.'" *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-194 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

The parties were advised that "OALJ issues decisions based only on the record in the proceeding. *See* 5 U.S.C. § 556(e). If there is information available in a different office at the Commission that a party wants considered, it is the party's obligation to provide that information." Order Denying Complainant's Motion for Finding of Facts and Default Decision at 3.

In addition, as previously explained to the parties:

Settlement discussions are not admissible under Federal Rule of Evidence 408. This is, in part, because often in a settlement neither side obtains or pays what they believe is the correct amount. Settlements are compromises and external factors such as the likelihood of recovery, risk of an adverse ruling, and costs of continued litigation impact settlement offers. These are not the factors that a judge considers in ruling on the merits of the claim. Therefore, settlement offers are not accurate measures of the value of a case and are generally not admissible. To the extent that settlement offers or actions have been mentioned in filings, those comments are stricken and not considered.

Order Denying Complainant's Motion for Finding of Facts and Default Decision at 2-3.

E. Arguments of the Parties

"Complainant contends that the evidence of record . . . establishes that Respondent knowingly and willfully by means of an unfair device obtained ocean transportation of property at less than the rates or charges that would otherwise [be] applicable." Complainant Brief at 1.

Respondent admits that she failed to pay the ocean transportation costs and states that she “took full responsibility” but claims that it was the Complainant’s “lack of knowledge that created unnecessary issues time after time.” Respondent Brief at 3-4.

Specific findings of fact are set out in part two, analysis and conclusions of law in part three, and the order in part four.

II. FINDINGS OF FACT

1. Complainant, Muhammad Rana, is an individual shipper who was temporarily relocating his residence from Alexandria, Virginia, to Islamabad, Pakistan. CPFF 1.
2. Respondent Michelle Franklin is the sole owner of The Right Move, Inc. Respondent’s Response to Complainant’s Motion of January 23, 2020 (titled Motion for Finding of facts alleged by the complainant and default decision- Response) at 3 (“As a sole owner of a closed failed company , I also bare the debt of it .”) ²
3. During this shipment, The Right Move had no other employees. Respondent’s Answer to Complainant’s Discovery Request (titled Motion to Compel) at 1.
4. The Right Move was licensed by the Commission as an NVOCC (License No. 023229N) in 2011. Respondent’s Answer to Complainant’s Discovery Request (titled Motion to Compel) at 1; C. App. Ex. 37.
5. Respondent’s NVOCC license was revoked by the Commission on July 4, 2019, for failure to maintain a valid bond. C. App. Ex. 37.
6. On February 4, 2019, Respondent provided Complainant a quote for door to port service with self-loading for a total price of \$2,595.00. CPFF 2; RPFF 1.
7. On February 6, 2019, Complainant sent Respondent an email accepting the terms and conditions and promising full payment by February 14, 2019. C. App. Ex. 2.
8. Respondent provided Complainant a document titled “The Right Move Inc. ALL AROUND THE WORLD International Moving Service Agreement,” (“Shipping Agreement”) which Complainant signed and dated February 6, 2019. C. App. Ex. 1.
9. The Shipping Agreement listed the service to be provided as a door to port movement by 20 ft container from Complainant’s residence in Alexandria, VA, on February 14, 2019, to the port in Karachi, Pakistan, for \$2,500, with free total loss insurance coverage of \$5,000 plus \$95 documentation fee, totaling \$2,595.00. C. App. Ex. 1.

² Irregular spacing, punctuation, and spelling are maintained in quotes where possible throughout the decision.

10. According to the Shipping Agreement, the flat rate included shipping or ocean freight charges from Alexandria, Virginia, to Port Qasim, Karachi, Pakistan. The flat rate also included terminal handling or port of loading charges at origin. C. App. Ex. 1.
11. The Shipping Agreement listed the transportation provider as: Right Move Inc., 150 Motor Parkway Suite # 401, Hauppauge, NY 11788; Registration: FMC # 023229N; and Customer Rep: Michelle. C. App. Ex. 1.
12. On February 7, 2019, Respondent sent Complainant an email stating that “your container is booked,” identifying the carrier (Maersk), vessel name, voyage number, and indicating that “We are all set for Feb 14 at 11 AM.” R. App. Ex. 9.
13. On February 14, 2019, Complainant wire transferred \$2595.00 into Respondent’s account under the name Michelle Franklin. C. App. Ex. 3.
14. On February 15, 2019, Respondent acknowledged receipt of the wire in an email. C. App. Ex. 4.
15. On February 15, 2019, Complainant loaded the container. RPFF 6.
16. The Right Move Bill of Lading, dated February 27, 2019, listed Complainant as the exporter/shipper and consignee; Right Move as the forwarding agent; CP World Co. Ltd. (Karachi) as the destination agent; port of loading as Baltimore; port of unloading as Port Qasim, Pakistan; and the container number as MSKU277849-7 “Said to contain 48 items of used household goods and used personal effect. Ocean Freight prepaid, Express release” and was signed by “THE RIGHT MOVE, INC., As Carrier.” C. App. Ex. 7.
17. The Troy Container Line (“Troy”) bill of lading dated February 27, 2019, listed Complainant as the shipper/exporter, consignee, and notify party; Right Move as the forwarding agent; CP World Co. Ltd (Karachi) as the destination agent; port of loading as Baltimore; port of discharge as Port Qasim, Pakistan; the description of packages and goods as 20 ft container with 72 pieces of used household goods and personal effects and the container number as MSKU277849-7. C. App. Ex. 6.
18. Maersk was the vessel operating common carrier that transported Complainant’s container from Baltimore to Qasim Port in Karachi, Pakistan. C. App. Ex. 7, 18-20.
19. In an email dated March 13, 2019, the Respondent informed the Complainant that the “shipment is due in Karachi by April 3.” C. App. Ex. 38.
20. On March 25, 2019, Respondent sent Complainant an email requesting an inventory list, final address, and local phone number for the bill of lading and stating that “All these details must be on the bill of lading, or it will cause problems for you when the shipment arrives” and indicating that “changing the docs will cost a fee, I am not charging anything, it is the steamship line.” R. App. Ex. 4.

21. On March 25, 2019, Complainant responded by asking Respondent to “explain what you meant by ‘changing the bill of lading at this time will cost a fee.’” R. App. Ex. 4.
22. On March 30, 2019, Complainant sent an email to Respondent asking “Is the bill of lading ready?” and then sent another email asking how much free time he would have. C. App. Ex. 16; R. App. Ex. 5.
23. The shipment arrived in Karachi, Pakistan, on March 31, 2019. C. App. Ex. 39.
24. Complainant did not receive a copy of the bill of lading until after the shipment arrived. C. App. Ex. 5, 16, 17.
25. On March 31, 2019, Complainant emailed Respondent saying he needed the Bill of Lading “ASAP.” C. App. Ex. 15; R. App. Ex. 5.
26. On April 1, 2019, Complainant again emailed Respondent stating “I need the bill of lading today. I am leaving for Karachi tomorrow morning, the cargo is arriving day after tomorrow. Please send the bill of lading.” C. App. Ex. 15; R. App. Ex. 5.
27. Later on April 1, 2019, Complainant emailed Respondent again, stating: “It appears you are ignoring my requests. If I don’t receive my bill of lading timely, I will in a civil court seek damages and costs incurred by me as a consequence of your company’s failure to issue a timely bill of lading To avoid litigation please send me my bill of lading.” R. App. Ex. 5.
28. On April 2, 2019, Respondent sent an email to Complainant stating:

Sorry, I didn’t mean to be silent, I didn’t have proper access to the e-mail , I regret to inform you that our company was target to shipping fraud, and as result, we are forced to shut down as it put a huge financial burden on us . Please see the old Bill of lading, I am waiting for them to revise it, but it always takes few days, and because the shipment arrived, they may not be able to do so . You may have to change it from your end, Please send me your agent details, I would need to make sure he can help you ! I can issue a house bill of lading , if that helps with the proper info , Just let me know what your agent wants to do ?

C. App. Ex. 17.³
29. On April 2, 2019, Complainant emailed Respondent saying “Sorry to hear about your company troubles. I hope things work out for the best. My agent wants to know if I have any ‘free time’? How many days can they keep my cargo without charge?” Respondent’s email response filed October 1, 2019, Ex. 3.

³ Paragraph structure in quotes is not maintained throughout this decision.

30. On April 2, 2019, Complainant traveled to Karachi, Pakistan, from Islamabad, Pakistan, to receive his cargo from Port Qasim, Karachi. The same day, he went to Maersk's shipping office in Karachi to check the status of the shipment and found out that the shipment had arrived at port. He also found out that Troy's delivery agent in Pakistan, CP World, had placed a hold on the cargo because ocean freight/shipping charges had not been paid by Respondent. He explained to the Maersk office that ocean freight was prepaid, but Maersk's representative asked to see an endorsement from CP World. C. App. Ex. 41 (Affidavit).
31. From April 3, 2019, onwards Complainant was repeatedly informed verbally by Troy's delivery agent that Respondent did not pay ocean freight shipping dues for his cargo and as a result, the cargo could not be released until full payment was received from Respondent. At first, Complainant did not believe the CP World representative and thought that the representative was extorting money from Complainant because he was a United States citizen. C. App. Ex. 41 (Affidavit).
32. On April 4, 2019, Respondent emailed Complainant and stated "Changes to the bill of lading will take a few days, ask your agent if a house bill of lading will help ? I can send that right away at no cost." R. App. Ex. 6.
33. On April 5, 2019, Complainant sent Respondent a series of emails. The first one stated:
- TROY Container Line has placed a hold on my cargo stating that you have not paid them for the shipping and cargo service. They are also saying that you have engaged in "shipping fraud." Until you pay them, MAERSK will not [release] my cargo. Can you please send me a receipt or proof of payment by you to TROY or the third party so I can have MAERSK lift the hold on my cargo? After tomorrow they will start charging me \$55 per day for storage. Please assist.
- C. App. Ex. 18.
34. Also on April 5, 2019, Complainant sent an email to Respondent stating that "Maersk is asking for payment of delivery and shipping. I already paid you for that, can you please check with them" and an email stating "Please contact MAERSK and let them know that shipping and delivery expenses have been prepaid" and providing his agent's email address. C. App. Ex. 19.
35. On April 5, 2019, Respondent emailed Complainant stating "Troy said I am engaged in a shipping fraud ? Can you please send me that ? Also, as I have advised there was another company involved, I am checking to see why they didn't pay." C. App. Ex. 21.
36. On April 5, 2019, Complainant then sent an email stating:
- Yes, TROY's agent CP World who put a hold [] on the cargo on the direction / behalf of TROY stated that you have engaged in "shipping fraud." Tomorrow morning he will issue a letter in writing that I can

forward to you. Also one of the BL you gave me is from TROY. Can you please check or get a receipt or proof of payment to TROY and send it to me so I can receive my cargo?

C. App. Ex. 22.

37. On April 5, 2019, Respondent sent an email stating:

The Right Move is closing, but we are far from engaged in Shipping fraud. It's actually the opposite, maybe that's what they meant, but regardless, We have paid the shipping costs to a third party to pay the SSL for this shipment, I am checking into it, to see how we can help you release the shipment, Because the company is closed, I am unable to pay it again, and if it comes down to the fact that you may have to pay it directly, We are fully licensed and insured, and you can file a claim against the company bond ! If you need to pay , I will send you the details of how to file a claim and retrieve your money ! But for now, give me an hour or 2 to see why this was not paid, even though we have sent the payment.

C. App. Ex. 23.

38. On April 5, 2019, Complainant sent Respondent an email stating "If you sent the payment, can you please send me proof that you sent the payment, so I can get my cargo released." C. App. Ex. 23.
39. On April 5, 2019, Respondent sent an email to Complainant stating:

I paid the fees you have to believe me, I talked to the company and they are sending the payment today, but it may take a few days, I think it [will] be released by Tuesday or Wednesday the latest, If you don't want to wait, pay the fees, and I will wire the money to you I will need your bank details to do so !

C. App. Ex. 24.

40. On April 5, 2019, Complainant sent Respondent an email stating:

Despite everyone telling me that I have been defrauded, I believe you, I always try to see good in people.

Michelle, I do not want to wait, because after tomorrow I will be charged \$55 per day for storage. I just want what I paid for, which is my right. Please wire the money to my account today / ASAP otherwise I will be compelled to lodge a complaint with the Federal Trade Commission and FBI's online / email fraud division. TROY will issue a letter to me tomorrow implicating you in shipping fraud. In addition when I am back stateside in a couple of

months I will file a claim in a civil court where I will claim damages, expenses, travel / lodge expenses and mental anguish etc.

To avoid all of this please wire the total amount that was due for shipping to my account today, so I can pay it here.

C. App. Ex. 25. The email included Complainant's bank and account number.

41. On April 8, 2019, Respondent sent Complainant an email stating:

I had every intention of helping you , I really did ! But it seems that you get the wrong advice [from] the wrong people , and I am afraid that this leaves me no choice but to refuse to communicate with you directly ! From now on we either talk through the FMC , or your lawyer ! I will not respond to any of your e-mails if you keep coming up with your redicules accusations! Please e-mail the Federal Maritime commission and they will assist both of us !

R. App. Ex. 3 (also includes the personal email address of an FMC employee in the Commission's Office of Consumer Affairs and Dispute Resolution Service).

42. On April 8, 2019, Complainant sent Respondent an email stating:

I am the victim here. I did not deserve this, what you did to me is very wrong. I am stuck in a city where I don't know people, I am paying for lodging, my cargo is not being released because you did not pay TROY their dues from the money that I paid you. I kept my end of bargain, but you failed to keep yours. I have all emails and proof of what we agreed upon and what I paid you. You did not deliver the service you agreed to provide.

I am not the one saying you engaged in shipping fraud, it is TROY and CP World who are claiming this and giving me evidence. And yes I am the victim here.

I am not threatening, I am asking you to provide me with evidence that you paid TROY, so I can contest their claim here and receive my cargo. Alternatively you can wire me money to my account, so I dont have to go to court, FMC or FTC. So yes lets resolve this in a civil manner and in good faith. So please either call TROY or CP World and tell them to release my cargo, or give me proof of payment to TROY, so I can contest their claim here without paying. Or just simply wire the money to my bank account.

C. App. Ex. 26 (including Complainant's bank account information).

43. On April 9, 2019, Respondent sent Complainant an email stating:

Of course I am in touch with them , I have been following up on your shipment the whole time, just didn't know Troy didn't get paid. The booking was done under another company license, because I knew we may get to the point we have to close, We conducted business with a company who shipped donation goods The person who booked it disappeared and left us with six containers in the port or destination. Needless to say that as you know , port charges accumulate every day , and we were trying to find a solution, eventually we ended up abandoning the shipments, and needed to pay high penalties, which forced us to close.

Since I didn't want your shipment to be effected in this process, I opened a bank account that was a business account, but had my name on it in order to be not associated it with the The Right Move, Inc financial burden,

Once I received your payment, I paid it to the third party I used to book your shipment from the same bank account, because once again, I didn't want your shipment to get stuck if in case the Right Move Inc license is being revoked while in the process of shipping your goods.

Needless to say that at the time I took your shipment, It was all in good faith that the company will continue to operate and move forward, and this will not effect you.

The third company I booked it with , paid for the trucker costs, and waited until the last minute to pay the ocean, we all do that, but it is after the fact your shipment arrived because according to the booking , the shipment should have been there in few days so they thought they had few more days.

I get that you [are] upset and frustrated, I too, worked very hard for past 10 years, and one bad customer crashed it all down ! This is life, you learn from it and move on ... I will help you finish this , but I still think you should pay directly and let me refund you ! it will be faster, easier and cheaper.

C. App. Ex. 27.

44. On April 9, 2019, Respondent sent Complainant an email stating "Please let me know if you have paid the ocean directly ? The company I paid the money to, needs to know if to refund me, so I can refund you , or should they pay the ocean directly ?" C. App. Ex. 28.
45. On April 9, 2019, Complainant sent Respondent an email stating "I have not paid them yet. How soon can that company pay TROY? Please ask and let me know." C. App. Ex. 29.
46. On April 9, 2019, Respondent sent Complainant an email stating "They promised to pay it today or tomorrow, but since you are paying \$50 a day , I strongly suggest you pay directly and I will refund you , probably no [later] than Friday." C. App. Ex. 30.

47. On April 9, 2019, Complainant sent Respondent an email stating “Please tell them to pay today ASAP, it is evening here so it should clear by tomorrow. Please send me proof of payment (email or receipt etc) so I can show CP World.” C. App. Ex. 31.
48. On April 9, 2019, Respondent sent Complainant an email stating “I have been asking them to pay it for the last 4 days, they should be able to pay it today or tomorrow. I will send you the proof once it was paid.” C. App. Ex. 32.
49. In a letter to Complainant bearing a CP World Co. letterhead dated April 9, 2019, CP World stated:

We hereby inform that we are the active agent of M/S Troy Container Lines in Pakistan. We have been instructed by Troy Container Lines to Hold said Shipment till our Further Instruction due to reason that Forwarding Agent, THE RIGHT MOVE INC (Michelle Franklin) of this Consignment has not paid Port of Loading and Shipping Dues. Meantime they also instructed if Consignee willing to pay POL and Shipping Dues than we are free to Release the Delivery of Goods at here in Karachi. I hope this clarifies our position & fully explains why your cargo is not being released at PORT QASIM.

Yours faithfully

For: CP World CO.

AS Handling Agents

C. App. Ex.8.

50. On April 9, 2019, Complainant, for the first time, agreed to pay ocean and shipping that was owed by the Respondent, only after Troy’s agent CP World officially and in writing gave him the option to pay in order to release his cargo. C. App. Ex. 40 (Affidavit).
51. On April 9, 2019, Complainant sent Respondent an email stating “Okay Michelle, I will pay directly tomorrow and you can send me the refund by Friday. CP world will charge me 156,750 rupees in unpaid dues, this comes out to 1,112.00 US dollars. This excludes port costs and other delivery costs. I will send you the receipt. You can mail a cashier’s check in my name to my brother’s address in Connecticut.” Respondent’s email response filed October 1, 2019, Ex. 6.
52. On April 9, 2019, Respondent sent Complainant an email stating “The Invoice and payment amount I made was \$1025[.] That’s what they needs to pay to Troy[.] On Friday you said you will pay it directly, to avoid these additional costs. I will keep following up with them and make sure they pay , but it may take another day , and in the meantime you are paying additional fees. I paid these fees a day after you submitted your payment to me, just so you know !” Respondent’s email response filed October 1, 2019, Ex. 5.

53. On April 9, 2019, Complainant paid CP World “with mental reservation and under duress just to get my important documents (birth certificate, citizenship documents, bank documents, tax returns, ownership documents, college degrees, employment documents, awards, etc.) and personal belongings of sentimental value (photos, letters, etc.) released.” C. App. Ex. 40 (Affidavit).
54. On April 10, 2019, the Complainant paid CP World 157,000 Pakistani Rupees for shipping charges. C. App. Ex. 9; C. App. Ex. 41 (Affidavit).
55. On April 10, 2019, after payment to CP World, Complainant received a charge calculation breakdown showing that the 7-day free time had ended and requiring an additional \$605.00 in container detention charges beyond the regular 7-day free time at a standard rate of \$55.00 per day. C. App. Ex. 10.
56. On April 10, 2019, Respondent sent Complainant an email stating, “Perfect, I am also confirming that the money was sent back to me, and I should be able to pay by Friday ! I [will] check how many free days we have , will get back to you shortly !” C. App. Ex. 33.
57. Complainant had brought dollars in cash with him for the customs duty, truck rental, and port charges, but had to use it to pay CP World, after which the Complainant was out of cash and didn’t have money for the container demurrage charges. After this, because the Complainant did not have a bank account in Pakistan; he depended on wire transfers and remittances from his US bank account, which can take from 2 to 3 business days. Plus, all banks and ocean freight shipping related offices were closed over the weekend in Pakistan. Furthermore, Maersk Shipping Company and shipping agents in Pakistan do not accept credit cards. C. App. Ex. 41 (Affidavit).
58. On April 15, 2019, after the weekend and after receiving additional cash, the Complainant paid Maersk’s shipping office in Karachi 85,000 rupees for the container demurrage charges through a shipping agent. C. App. Ex. 41 (Affidavit).
59. After the payment was made Complainant’s cargo was released for customs inspection at Port Qasim. Complaint at 3; C. App. Ex. 41 (Affidavit).
60. On April 15, 2019, Respondent sent Complainant an email stating “Hope you are well, Did you release the container ? Also can you please send me the agent invoice ?” R. App. Ex. 7.
61. On April 16, 2019, through April 19, 2019, the Complainant’s cargo underwent the routine procedural customs inspection, requirements, and paperwork. C. App. Ex. 41 (Affidavit).
62. On April 17, 2019, the Respondent stated, “I will send you a refund shortly I will also check that [Troy’s] agent only charges what he needed, but that’s between them and our company. Also, did you at least get the container ?” C. App. Ex. 34.

63. On April 19, 2019, the Respondent stated that “The payment will be concluded in a day or 2, of course I will try to pay you as much as I am responsible for ! Just wanted to double check all the costs you had paid, and with the holiday in the middle it may take until Tuesday ! I promise we will finish this very very soon !” C. App. Ex. 35.
64. On April 20, 2019, after receiving clearance from Pakistan’s Customs Department, the cargo was not allowed to leave Port Qasim because the ‘No Objection Certificate (NOC)’ that was previously issued by Troy’s agent CP World had expired. The Port Qasim Authority required the renewal of the No Objection Certificate from CP World. Complaint at 4; C. App. Ex. 41 (Affidavit).
65. On Monday, April 22, 2019, when the CP World offices opened after the weekend, the NOC was renewed. During this time, an additional 6 days of container charges (demurrage and detention) for the Maersk container had accumulated. Complaint at 4; C. App. Ex. 41 (Affidavit).
66. On April 22, 2019, Complainant paid an additional 47,536 rupees to Maersk for container demurrage charges through a shipping agent. C. App. Ex. 12, 13, 41 (Affidavit).
67. On April 23, 2019, Complainant’s cargo left Port Qasim, Karachi, for Islamabad. C. App. Ex. 41 (Affidavit).
68. On April 23, 2019, Complainant had to pay 385,000 rupees (PKR) for lodging at a local hotel for 21 nights in Karachi. This was for the duration of time the Respondent had to spend in Karachi while his cargo was held at Port Qasim, Karachi. C. App. Ex. 14, 41 (Affidavit).
69. On May 1, 2019, Respondent sent an email to Complainant stating “Still fighting the Steamship line to get you more free days, as they usually don’t grant it after the container arrives. Did you release the shipment ? I was waiting to see what is the total amount and to see if I can help you a little with the additional costs you had occurred.” R. App. Ex. 8.
70. On May 30, 2019, after this proceeding was filed but before Respondent filed a response with the Commission, Respondent sent an email to Complainant stating:

A wire for \$1025 was initiated yesterday. You should have the payment by tomorrow in the bank account you have provided. The amount is the ocean cost that we failed to pay in time. You can take all the legal actions you want. The company is closed ! It was closing down and money was tight and therefore the delay ! I had intentions of paying you back all alone , but you were too busy making this something it was not ! I do apologize for the inconvenience and wish you all the best !

C. App. Ex. 36.

71. Respondent admitted that “the Ocean freight was not paid. That is agreeable” in her response to Complainant’s discovery. Respondent’s Response to Complainant’s Discovery.
72. Respondent acknowledged that her company’s financial problems stemmed from problems with prior shipments. C. App. Ex. 27 (describing an abandoned shipment); RPPF at 2 (“I was informed that the freight was on hold, and It seems as the payment that was submitted was applied towards an old shipment that was still pending.”); Respondent’s email response (to order to show cause) at 3.
73. In Respondent’s response to the Complaint, the Respondent claimed that “Mr. Rana was one of the last few customers we had to finish before we chose to close the company and surrender our FMC license.” Answer at 3.
74. On June 10, 2019, and July 9, 2019, Respondent emailed the FMC stating that her business was in the process of closing. R. App. Ex. 1, 2. Respondent did not include the emails from the FMC about her license in the record.
75. According to the Commission website, in a list of OTI’s with licenses revoked or surrendered, the Respondent’s license is listed as revoked on July 4, 2019, while this case was pending, because of failure to maintain a valid bond. C. App. Ex. 37; <https://www.fmc.gov/oti/revocations-july-12-2019>.
76. Respondent stated that the “Complainant is entitle[d] to ocean costs refund + Demurrage of 5 days caused by the delay of releasing the ocean, nothing else if related what so ever to his additional expenses nor should affect the outcome of this case.” Respondent’s Response to Complainant’s Motion of January 23, 2020 (titled Motion for Finding of facts alleged by the complainant and default decision- Response) at 4.
77. Complainant paid the port fees out of pocket and is not asking for the port fees in this complaint. There is no evidence that the Complainant asked for demurrage before this complaint and the Respondent did not offer to pay some of the demurrage prior to settlement discussion in November 2019. C. App. Ex. 40 (Affidavit).
78. From February 2019 to date, Michelle Franklin has been and still is the sole spokesperson, representative, owner, advocate, and employee of The Right Move. Respondent’s failure to respond to Complainant’s discovery: Request for the Production of Documents 10 through 15.
79. The Right Move has failed to observe corporate formalities in terms of documentation. Respondent’s failure to respond to Complainant’s discovery: Request for the Production of Documents 10 through 15.
80. The Right Move is not a separate entity from Michelle Franklin, and The Right Move is or was taxed through Michelle Franklin’s personal tax returns. Respondent’s failure to respond to Complainant’s discovery: Request for the Production of Documents 13 through 15.

81. Michelle Franklin treated the funds and assets of the Right Move as her own. C. App. Ex. 3 (shipping charges for Complainant's container were paid into Michelle Franklin's personal account); Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 13 through 15.
82. The Right Move was being used by Michelle Franklin as a façade for her personal financial dealings and not as a separate corporate entity. C. App. Ex. 3. Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 10 through 15.
83. Complainant paid an additional \$55.00 per day container demurrage / detention charge for 17 days (April 7th through April 23rd), a total of \$935.00 (132,536.00 rupees); this was beyond the 7-day free time, because of the delay caused by Respondent's failure to pay ocean freight. C. App. Ex. 10, 11, 12, 13, 41 (Affidavit); <https://www.maersk.com/en/local-information/pakistan/import>.
84. Complainant had intended to stay in Karachi for only 3 nights for the customs clearance process. However, due to Respondent's failure to pay the shipping fees, Complainant had to stay at a hotel in Karachi for an additional 18 nights and pay a total of 388,500 rupees in hotel lodging at a rate of 18,500 rupees per night. For the additional 18 nights lodging the total comes out to 333,000 rupees or \$2,350.03. C. App. Ex. 14, 41 (Affidavit).
85. Complainant paid taxi charges in the amount of about \$7.76 (1100 rupees) per day or \$116.40 for 15 days to get to and from the Maersk Office, CP World Office, Western Union, Port Qasim, hotel, etc. C. App. Ex. 41 (Affidavit).
86. Complainant stayed at a hotel in Karachi for an additional 18 days resulting in meals and incidental expenses (M&IE) incurred by Complainant. C. App. Ex. 41(Affidavit). According to the U.S State Department the foreign per diem M&IE rate set for Karachi in April 2019 was \$82 per day. The total M&IE comes out to $18 \times \$82 = \$1,476.00$. https://aoprals.state.gov/Web920/per_diem_action.asp?MenuHide=1&CountryCode=1166&PostCode=&PublicationDate=20190401.
87. In April 2019, the price of the dollar in the open market against the rupee fluctuated between 141 to 142 rupees per dollar. Therefore, the exchange rate used in this calculation is 141.70 rupees per dollar, which was also the rate used by Maersk shipping company. C. App. Ex. 41 (Affidavit).

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, a complainant has the burden of proving by a preponderance of the evidence that the respondents violated the Act. 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.203; *Exclusive Tug Franchises*, 29 S.R.R. 718, 718-719 (ALJ 2001). “[A]s of 1946 the ordinary meaning of burden of proof was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Director, Office of Workers’ Comp. Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. 91, 102 (1981). “[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose.” *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman S.S. Corp. v. General Foundries Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

B. Discovery Sanctions

The order denying Complainant’s motion for finding of facts and default decision states:

Respondent refuses to answer questions that she believes are not relevant thereby denying Complainant discovery that is relevant and necessary to pursue his claim. Of Complainant’s 17 document requests, it does not appear that Respondent provided any documents. She did respond to two of the requests, indicating that no documents exist for document request 12 (“No partnership agreements available”) and document request 16 (“None exist” regarding whether there are any complaints, lawsuits, litigation or civil actions against Respondents where a violation of section 41102(c) was alleged.”). For the interrogatories, Complainant responded to only three of the thirteen questions, including interrogatories 1 (who answered), 12 (amount of bond), and 13 (a partial answer to why the OTI bond was revoked).

Order Denying Complainant’s Motion for Finding of Facts and Default Decision at 1. In addition, the order found that “[i]t is therefore appropriate to find that Respondent’s failure to provide documents and answer interrogatories leads to an inference that those responses would have been adverse to her interests. It is noted, in addition, that Respondent repeatedly admits her failure to pay the ocean freight although she denies that there are any other Shipping Act violations.” Order Denying Complainant’s Motion for Finding of Facts and Default Decision at 2.

The discovery requests submitted by Complainant to Respondent on September 18, 2019, included requests for information about this shipment such as communication with any third party involved, specifically any third party used to make a payment to Troy; proof of payment for the shipping, delivery, and transportation of this cargo; the amount of the OTI surety bond at

the time of the shipment and the reason the bond was revoked; business documents including article of incorporation, business license, recent tax returns, stock certificates, operating agreements; and all documents related to complaint, lawsuits, litigation, and civil actions against the Respondent personally or The Right Move business where a violation of 46 U.S. Code § 41102(c) was alleged. Motion for Finding of Facts Alleged by the Complainant and Default Decision, Ex. 2. This discovery request was reasonable and relevant to the issues in this proceeding. Respondent's refusal to provide the information despite repeated requests and an order from the undersigned prevented the discovery of relevant evidence and justified an inference that the responses would have been adverse to Respondent's interests.

Complainant's complaint was notarized and under oath. All of Complainant's pleadings have been signed and certified. Additionally, Complainant submitted a sworn notarized statement with his proposed findings of facts and brief. Complainant requested that Respondent answer the interrogatories under oath and under penalty of perjury; however, none of the Respondent's responses were under oath or under penalty of perjury. The Respondent has not signed her pleadings under oath or under penalty of perjury. This fails to comply with the Commission's requirement that pleadings, documents, or other papers filed with the Commission be signed and verified under oath and undermines the credibility of Respondent's statements and assertions. 46 C.F.R. §§ 502.6, 502.62(b).

C. Discussion

1. Legal Standards

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an actual injury to the complainant caused by the violation." 46 U.S.C. § 41301(a).

Complainant alleges that Respondent violated section 41102(a) of the Shipping Act, which states:

Obtaining Transportation at Less Than Applicable Rates.—A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

46 U.S.C. § 41102(a) (formerly section 10(a)(1)).

Section 41102(a) is also similar to section 16 of the Shipping Act, 1916, the predecessor to the 1984 Act. Section 16 stated:

That it shall be unlawful for any shipper, consignor, consignee, forwarder, broker, or other person, or any officer, agent, or employee thereof, knowingly and willfully, directly or indirectly, by means of false billing, false classification, false

weighing, false report of weight, or by any other unjust or unfair device or means to obtain or attempt to obtain transportation by water for property at less than the rates or charges which would otherwise be applicable.

46 U.S.C. § 815 (1982).

In *Capitol Transportation, Inc.*, the First Circuit reviewed the Commission's imposition of a reparation award based on a violation of section 16. *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979). Maritime Service Corporation ("MSC"), a central collection agency for the billing and collection of container demurrage charges owed to ocean carriers, billed Capitol for demurrage charges under commercial bills of lading naming Capitol as consignee, but Capitol did not pay. MSC filed a complaint with the Commission seeking a reparation award for the amount owed. The Commission found that Capitol operated as an NVOCC and as consignee on the shipments and was liable for the demurrage charges. The Commission affirmed the administrative law judge's holding that "by knowingly and willfully refusing to pay demurrage owing under published tariffs, [Capitol] in effect obtained transportation by water at less than the applicable rates and thus violated section 16 of the Shipping Act." *Capitol Transportation*, 612 F.2d at 1317.

Capitol filed a petition with the Court of Appeals for the First Circuit for review of the Commission's decision. The court denied Capitol's petition for review. Regarding section 16, the court stated that "a carrier's mere stubborn but good faith refusal to pay a disputed rate or charge" does not constitute an "unjust or unfair device or means" within the meaning of section 16 but that a refusal to pay accompanied by an "element of fraud or concealment" would suffice to show an "unjust or unfair device or means." 612 F.2d at 1323. The court agreed with the Commission's finding that the "requisite element of fraud or concealment was established in this case by Capitol's 'unexplained and apparently unjustified avoidance of any payment of the amounts found due and owing.'" *Capitol Transportation*, 612 F.2d at 1323.

The Commission could properly find on this record that Capitol's refusal to pay had never been based upon a good faith legal defense, but simply reflected a calculated judgment to fight MSC to the end, forcing it to pay in blood, sweat and treasure for every penny eventually collected. On the merits of the demurrage claim, Capitol failed to present a legal defense of any substance, and belatedly raised a variety of ever-changing contentions after the time for discovery or hearing was over. Those facts, coupled with earlier correspondence indicating an adamant and legally unexplained resistance to the notion of MSC's centralized demurrage billing procedure entitled the Commission to conclude that Capitol was not only knowing and willful in its refusal to pay, but that its policies, conducted as they were in bad faith, were tantamount to an unjust or unfair means of obtaining transportation by water at lower than applicable rates. Although it would not be proper to extend this rationale to cases involving refusal to pay based on honest differences, we think the conduct reflected in the present record was sufficiently egregious to support the Commission's finding that the requisite element of fraud or concealment was here established. . . . A calculated effort in bad faith to avoid the payment of demurrage legitimately owing would, if

successful, allow shippers and consignees to accomplish what Section 16 was intended to prevent[,] the receipt of carrier service at less than applicable rates and at less than rates charged to competitors. Thus while this case undoubtedly nears the outer limits of Section 16, we uphold the Commission's finding of violation.

Capitol Transportation, 612 F.2d at 1323-1324.

In 1992, the Commission published a proposed interpretive rule intended to clarify jurisdiction in proceedings under section 10(a)(1) of the 1984 Act (the successor to section 16 of the 1916 Act). See *Unpaid Freight Charges*, FMC No. 92-46, 58 Fed. Reg. 7190 (Feb. 5, 1993), 26 S.R.R. 735 (FMC 1993). The Commission promulgated a final interpretive rule based in part on the *Capitol Transportation* decision expressing its conclusion that use of an unjust or unfair device or means is an essential element of a section 10(a)(1) violation.

Section 10(a)(1) of the Shipping Act . . . states that it is unlawful for any person to obtain or attempt to obtain transportation for property at less than the properly applicable rates, by any "unjust or unfair device or means." An essential element of the offense is use of an "unjust or unfair device or means." In the absence of evidence of bad faith or deceit, the . . . Commission will not infer an "unjust or unfair device or means" from the failure of a shipper to pay ocean freight. An "unjust or unfair device or means" could be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.

46 C.F.R. § 545.2.

2. Respondent Acted as an NVOCC

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including two types of ocean transportation intermediaries ("OTI"). "The term 'ocean transportation intermediary' means an ocean freight forwarder or a non-vessel-operating common carrier." 46 U.S.C. § 40102(20). "The term 'ocean freight forwarder' means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments." 46 U.S.C. § 40102(19).

"The term 'non-vessel-operating common carrier' means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(17). To be an NVOCC, the entity must meet the Shipping Act's definition of "common carrier."

The term "common carrier" – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or

point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7).

The statutory definitions are echoed in the Commission's regulations:

Ocean transportation intermediary means an ocean freight forwarder or a non-vessel-operating common carrier. For the purposes of this part, the term

- (1) *Ocean freight forwarder (OFF)* means a person that – (i) In the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (ii) Processes the documentation or performs related activities incident to those shipments; and
- (2) *Non-vessel-operating common carrier (NVOCC)* means a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier.

46 C.F.R. § 515.2(m).

Common carrier means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 C.F.R. § 515.2(e).

The Commission promulgated regulations providing examples of NVOCC services performed by OTIs.

Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;

- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 C.F.R. § 515.2(k).

A prior case summarized the Commission's work to ensure that shippers were protected from underfinanced NVOCCs.

Because the licensed ocean freight forwarder was in a position to harm its shipper-customers and because such forwarders were often underfinanced and negligent in their duties, Congress required that they be bonded so that shipper-customers of the forwarders who were injured by the forwarders' derelictions of duty would have recourse to a surety to ensure that their financial losses would be made good. After May 1, 1999, the effective date of OSRA, the other type of intermediary, the NVOCC located in the United States, was also required to be licensed and bonded. This act of Congress was welcome because even before the passage of OSRA, NVOCCs, like freight forwarders, had engaged in negligent conduct with respect to their handling of shippers' cargoes and like some forwarders, they were underfinanced and disdainful of their duties toward their shipper-customers. See, e.g., *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871 (1993); *Adair v. Penn-Nordic Lines*, 26 S.R.R. 11 (I.D., finalized, 1991); *Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.*, 28 S.R.R. 534 (1998), affirmed as *Worldlink Logistics, Inc. v. F.M.C.*, 203 F.3d 54 (D.C. Cir. 1999), cases in which NVOCCs took shippers' moneys and failed to make sure

that the shipments were carried and delivered timely, causing shippers financial harm.

Crowley Liner Services, Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Authority, 29 S.R.R. 394, 2001 FMC LEXIS 7 at *71-72 (ALJ 2001) (Respondent PRPA's Motion to Dismiss or for Partial Summary Judgment Denied; Complainants Crowley's and Trailer Bridges Motion to Dismiss Granted for the Most Part; Complaint Dismissed) (Settlement Approved, 29 S.R.R. 971 (ALJ 2002)).

The evidence shows that Respondent issued a house bill of lading for the door to port movement; listed its registration number as FMC # 023229N where N is used to denote an NVOCC; was solely licensed as an NVOCC; and was still licensed when the shipment took place. Further, the Shipping Agreement issued by Respondent contains the terms for movement of the shipment and directs payment to be made to Respondent, consistent with acting as an NVOCC. In addition, the terms of the movement was for door to port movement but Respondent only engaged Troy to ship the container from Port to Port, indicating that Respondent undertook responsibility for shipment and provided transportation from Complainant's door to the port in Karachi while Troy provided transportation from the port in the United States to the port in Karachi. Accordingly, the evidence demonstrates that Respondent acted as an NVOCC on this shipment.

3. Section 41102(a) Elements

a. Knowingly and Willfully

Complainant contends that Respondent acted knowingly and willfully, for example by providing inaccurate information about the failure to pay.

To justify why Respondent failed to pay ocean freight charges, the Respondent falsely claimed that she paid a third party to pay TROY for ocean and shipping. The Respondent made up this fictitious story to try and convince the Complainant to pay ocean and shipping dues in Karachi, so she could keep the ocean and shipping charges for herself. It is highly unlikely and would have been unreasonable for the Respondent to pay a third party when all she had to do was pay TROY directly. This demonstrates that the Respondent knowingly and willfully acted in bad faith and deceit showing utter disregard for the law.

Complainant Brief at 3. Complainant also asserts that Respondent admitted "that she reasonably suspected that her company would close at the time the booking was done in February 2019" and that she "concealed this information." Reply Brief at 7.

Respondent claims that Complainant has a lack of knowledge of the shipping process, Respondent is a professional "very aware of the outcome of nonpayment of ocean shipment," and that she "never had any intentions of not paying the ocean as she is well aware of her personal liability." Respondent Brief at 1-2.

Section 41102(a) of the Shipping Act prohibits any person from “knowingly and willfully” obtaining or attempting to obtain ocean transportation of property by various false activities, including false billing or classification, or by “any unjust or unfair device or means.” A person is considered to have “knowingly and willfully” violated the Shipping Act if the person had knowledge of the facts of the violation and intentionally violated or acted with reckless disregard, plain indifference, or purposeful, obstinate behavior akin to gross negligence. *Rose International, Inc. v. Overseas Moving Network International, Ltd.*, 29 S.R.R 119, 164-165 (FMC 2001); *Portman Square Ltd.*, 28 S.R.R. 80, 84-85 (ALJ 1998) (Admin. final 1998); *Ever Freight Int’l*, 28 S.R.R. 329, 333 (ALJ 1998) (Admin. final 1998). “A calculated effort in bad faith to avoid the payment of demurrage legitimately owing would, if successful, allow shippers and consignees to accomplish what Section 16 was intended to prevent[,] the receipt of carrier service at less than applicable rates and at less than rates charged to competitors.” *Capitol Transportation*, 612 F.2d at 1324.

Respondent has not alleged a good faith legal defense for her failure to pay but rather a variety of ever-changing contentions. The evidence includes emails in which Respondent repeatedly blamed the failure to pay on an unnamed third party. For example, Respondent stated:

- “Also, as I have advised there was another company involved, I am checking to see why they didn’t pay.” C. App. Ex. 21.
- “We have paid the shipping costs to a third party . . . give me an hour or 2 to see why this was not paid, even though we have sent the payment.” C. App. Ex. 23.
- “I paid the fees you have to believe me, I talked to the company and they are sending the payment today, but it may take a few days.” C. App. Ex. 24.
- “Once I received your payment, I paid it to the third party I used to book your shipment.” C. App. Ex. 27.
- “The company I paid the money to, needs to know if to refund me, so I can refund you , or should they pay the ocean directly ?” C. App. Ex. 28.
- “They promised to pay it today or tomorrow.” C. App. Ex. 30.
- “I have been asking them to pay it for the last 4 days, they should be able to pay it today or tomorrow. I will send you the proof once it was paid.” C. App. Ex. 32.
- “I will keep following up with them and make sure they pay , but it may take another day , and in the meantime you are paying additional fees. I paid these fees a day after you submitted your payment to me, just so you know !” Respondent’s email response filed October 1, 2019, Ex. 5.

However, Respondent no longer claims that a third party was responsible for the failure to pay and Respondent now admits that she failed to make the payment. The statements in the contemporaneous emails regarding a third party are not credible. This type of active

misinformation and deceit demonstrates knowledge and willfulness and caused a significant delay in obtaining the cargo.

Respondent knowingly and willfully continued to promise a refund but failed to refund Complainant for the shipping costs he paid to Troy. C. App. Ex. 33 (“I am also confirming that the money was sent back to me, and I should be able to pay by Friday !”); C. App. Ex. 34 (“I will send you a refund shortly”); C. App. Ex. 35 (“The payment will be concluded in a day or 2, of course I will try to pay you as much as I am responsible for !”); C. App. Ex. 36 (“A wire for \$1025 was initiated yesterday. You should have the payment by tomorrow in the bank account you have provided. The amount is the ocean cost that we failed to pay in time.”). This failure to refund despite repeated promises mirrors Respondent’s failure to initially pay the shipping charges, further undermines Respondent’s credibility, and demonstrates that her conduct was knowing and willful.

Respondent indicated that she did not know whether Troy had been paid and blamed Complainant for a lack of knowledge of the shipping process, for example, not knowing the shipment’s arrival date and for requesting changes to the bill of lading. Respondent Brief at 4; C. App. Ex. 27; RPFF at 2-3. The evidence shows that Respondent did not provide Complainant with a copy of the bill of lading until after his shipment arrived and there is only one bill of lading in evidence. C. App. Ex. 5, 16, 17. The evidence does not support Respondent’s argument that changes to the bill of lading were made and even if a change was made, such a change does not excuse Respondent’s failure to pay the shipping charges. Moreover, Respondent, as a knowledgeable shipping professional, should have checked on the arrival date, ensured that the bill of lading was provided timely and accurately, and ensured that timely payment was made to Troy.

The evidence demonstrates that when Respondent accepted Complainant’s booking, Respondent knew The Right Move might be closing. Although Respondent claims in some emails that The Right Move did not close until March of 2019, the evidence shows that Respondent knew the business might be closing when she accepted this booking in February of 2019. C. App. Ex. 23, 36; R. App. Ex. 1, 2. Respondent acknowledges that her company’s financial problems stemmed from problems with prior shipments. C. App. Ex. 27 (describing an abandoned shipment); RPFF at 2 (“I was informed that the freight was on hold, and It seems as the payment that was submitted was applied towards an old shipment that was still pending.”). Financial hardship does not justify the failure to pay shipping charges for subsequent shipments.

Respondent knowingly and willfully opened a personal bank account to accept Complainant’s payment for this shipment, with the intent of keeping these funds separate from company funds. In a contemporaneous email, Respondent stated that the “booking was done under another company license, because I knew we may get to the point we have to close.” C. App. Ex. 27. She then explains problems with another shipment and says that “[s]ince I didn’t want your shipment to be effected in this process, I opened a bank account that was a business account, but had my name on it in order to be not associated it with the The Right Move, Inc financial burden.” C. App. Ex. 27; *see also* Complainant Brief at 10; C. App. Ex. 3. Opening a separate bank account to avoid comingling this transaction with her company’s funds indicates that she was acting knowingly and willfully.

Respondent asserts that she was an experienced professional and the evidence shows that she was a licensed NVOCC. Respondent deflected Complainant's questions about payment for his shipment with misinformation about a third party and promises to pay, as well as opening a separate account for this transaction. This evidence is sufficient to demonstrate that she acted knowingly and willfully, as required for a violation of section 41102(a).

b. Unjust or Unfair Device or Means

Complainant asserts that Respondent used an unjust or unfair device or means, including fraud and deceit, arguing that:

There is an abundance of evidence in the record that establishes fraud and deceit by the Respondent. In February 2019, the Respondent knew or reasonably suspected that her company may close soon, but failed to disclose this material information to the complainant when they entered into an agreement. . . . This was a deliberate act of omission by the Respondent who knowingly and recklessly misled the Complainant just to obtain Complainant's business.

Complainant Brief at 4. Complainant also asserts that "Complainant made non-credible, inconsistent and deceitful claims about ocean payment" when she "in bad faith continued to deceitfully claim via email that she had paid the shipping dues albeit via a third party and that the payment should clear soon." Complainant Brief at 5.

Respondent asserts that she was an experienced professional aware of her responsibilities; that she continued to communicate with and try to help Complainant, even suggesting that he contact the FMC; and that she did not know when she accepted the booking that she would be unable to pay the shipping charges. Respondent Brief at 2.

To establish a violation of section 41102(a), "fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means." *United States v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984); *see also Rose Int'l*, 29 S.R.R. at 163; *Waterman S.S. Corp. v. General Foundries, Inc.*, 26 S.R.R. 1424, 1429 (FMC 1994). "In the absence of evidence of bad faith or deceit, the Federal Maritime Commission will not infer an 'unjust or unfair device or means' from the failure of a shipper to pay ocean freight." 46 C.F.R. § 545.2. "It is such fraud or concealment that in fact makes the practice unjust or unfair." *Open Bulk Containers*, 727 F.2d at 1064.

The decision in *Nordana Lines* states:

Complainant acknowledges that the Commission now requires more than a showing that a respondent has failed to pay freight due because of a stubborn but good-faith refusal to pay a disputed rate or charge to support a claim that section 10(a)(1) has been violated. As complainant correctly contends, to support such a charge, complainant must show some element of falsification, deception, fraud or concealment or some evidence of bad faith or deceit. Complainant cites several Commission decisions establishing these principles. Complainant argues that

[Respondent] has demonstrated deceit and bad faith by obtaining Nordana's transportation services and thereafter making a series of false promises to Nordana regarding its intention to pay the freight owed.

Nordana Line AS v. Jamar Shipping, Inc., 27 S.R.R. 233, 1995 FMC LEXIS 8 at *7-8 (ALJ 1995) (Notice not to review, April 19, 1995) (footnote omitted).

The First Circuit, in *Capitol Transportation*, accepted the Commission's finding that "the requisite element of fraud or concealment was established in this case by Capitol's "unexplained and apparently unjustified avoidance of any payment of the amounts found due and owing." *Capitol Transportation*, 612 F.2d at 1323.

In this case, there is clear evidence that Respondent used unjust or unfair means. Respondent issued a house bill of lading from Alexandria, Virginia, to Karachi Port, Pakistan, and assumed responsibility for Complainant's shipment. Respondent in bad faith failed to pay Troy, forcing them to collect ocean freight payment from Complainant in Karachi, Pakistan, even though she knew that the freight was prepaid by Complainant. When asked about the shipment, Respondent stated that a third party was handling the payment. C. App. Ex. 21, 23. There is no evidence in the record that a third party was used and it appears that this statement to Complainant was a material misrepresentation. In addition, Respondent misrepresented the status of her business when the shipment was booked and failed to timely disclose to the other common carriers and to Complainant that her business was in the process of closing. C. App. Ex. 23, 36; R. App. Ex. 1, 2. If Complainant had known this information before booking, he would have selected a different ocean transportation intermediary for his shipment.

This case is unusual because none of the Respondent's communications with Troy and Maersk, who handled the shipment, are in the record. Respondent would have copies of these emails in her control and her failure to produce them leads to the inference that they are adverse to her interests. It is a reasonable inference that her communications with Troy were not entirely accurate. For example, Troy would only have shipped the cargo with the expectation of payment. Since CP World required proof from Complainant that he had prepaid the shipment, it is likely that Respondent failed to disclose to Troy that the shipment was prepaid, misleading them to assume that payment would be made either by Respondent or by Complainant after the shipment arrived in Karachi, Pakistan. C. App. Ex. 18. If, as Respondent states, she made a payment that was applied to a different shipment, that would be evidence that this was not a unique situation but rather that Respondent had failed to pay for prior shipments. RPFF at 2 ("I was informed that the freight was on hold, and It seems as the payment that was submitted was applied towards an old shipment that was still pending."); C. App. Ex. 27 (describing a previous abandoned shipment).

Some of Respondent's arguments are hard to understand, for example, she states that the Complainant does not understand the challenges facing companies that ship household goods (seasonal business and lack of repeat customers) and states that "year after year after year, I have been through this same cycle" and that "it worked for 8 years prior and the business was successful." This implies that the challenges were foreseeable and manageable. However, she also says that "[a]sking the respondent to foresee difficulties is unreasonable" and that "[a]t time

of accepting the shipment, the respondent had no way of knowing she is facing harder times than usual.” Complainant Brief at 2. In this proceeding, foreseeability is not at issue. Rather, the issue is whether or not Respondent utilized unjust or unfair means or devices.

Failing to pay the ocean shipping charges, hiding the financial state of the company to induce Complainant to book with her, making a series of false promises, and blaming the lack of payment on a fictitious third party while Complainant’s goods were in limbo, support the finding that there was fraud or concealment. Accordingly, the evidence demonstrates unjust or unfair means, as required by the Shipping Act to establish a section 41102(a) violation.

c. Obtaining Transportation at Less than Applicable Rates

Complainant asserts that:

Respondent was required to pay TROY port of loading and ocean freight shipping charges, and by failing to pay TROY; the Respondent in bad faith, breached the shipping agreement between the Complainant and the Respondent. All Respondent had to do was pay \$1040.00 to TROY via credit card, money order, cashier’s check, money transfer or a regular check. The Respondent had already received \$2595.00, so she had the money to pay TROY, but failed to do so in bad faith.

Complainant Brief at 4.

Respondent admits that she failed to make the payment for the ocean transportation. Respondent’s Answer to Complainant’s Discovery Request (titled Motion to Compel) at 1. Respondent does not contest this element, conceding that the transportation occurred and that she did not make a payment for it. She argues, instead, that she intended to pay for the ocean transportation. Respondent Brief at 5.

Actions speak louder than words. Although Respondent repeatedly said that she intended to pay the ocean shipping, she did not pay the shipping charge and did not refund Complainant after he paid. Her failure to pay and promises to pay delayed Complainant’s ability to obtain his shipment. If her payment was applied to another shipment, RPFF at 2, that just demonstrates that this violation was not an isolated occurrence, a finding supported by Respondent’s acknowledgement of problems with other shipments. Financial problems do not justify the failure to pay for shipping. In addition, Respondent failed to pay the demurrage charges by Maersk that accrued on the container due to her failure to pay freight owed for the shipment. Respondent profited from obtaining transportation of this shipment without making any payment.

Pursuant to the Shipping Act, a shipper may not “obtain or attempt to obtain” transportation for less than applicable charges. As an NVOCC, Respondent was the shipper in relation to Troy. Respondent obtained transportation of the cargo without making any payment for the shipment, instead, keeping the payment for herself. The evidence shows that Complainant paid Respondent for the shipment and then had to pay Troy for the shipment. C. App. Ex. 3, 9,

41. Accordingly, Respondent obtained transportation at less than applicable rates as Respondent has not paid anything to Troy, Maersk, or Complainant for the shipment.

d. Conclusion

Respondent operated as an NVOCC when it issued a bill of lading assuming responsibility for transportation of cargo by water between the United States and a foreign port. For the shipment, Respondent was a shipper in relation to Troy within the meaning of the Act. 46 U.S.C. § 40102(22)(E). Complainant establishes by a preponderance of the evidence that Respondent engaged in fraud or deceit as required to establish use of an unjust or unfair device. In addition, the evidence establishes that Respondent obtained transportation without making any payment and that Respondent acted knowingly and willfully. Therefore, the evidence shows that Respondent knowingly and willfully, by means of an unjust or unfair device or means, obtained transportation by water for property at less than the rates or charges which would otherwise be applicable in violation of section 41102(a) of the Shipping Act. Accordingly, Complainant has established by a preponderance of the evidence that Respondent violated section 41102(a) of the Shipping Act when she shipped Complainant's household goods without making any payment.

4. Reparations

a. Personal Liability

Complainant sued Respondent in her individual name, doing business as The Right Move. Complaint at 1. Complainant argues that the corporate veil should be pierced to find Respondent personally liable for the damages, relying in significant part on Respondent's failure to respond to discovery.

Respondent argues that "the Right Move Inc is a closed company, and that the FMC license was terminated. The only way to compensate the complainant at this point will be through the company bond that was in place at the time of conducting business." Respondent Brief at 5.

The Commission has addressed when it is appropriate to pierce the corporate veil, stating that the "federal common law that has been developed generally recognizes a two-prong test to determine whether to disregard corporate form: the evidence must show (1) control and domination over the shell corporation, and (2) a federal violation." *Rose Int'l*, 29 S.R.R at 166.

The factual tests vary from circuit to circuit, but some of the major factors used to determine domination and control, and which we will consider, are as follows:

- (1) the nature of the ownership and control; (2) failure to maintain corporate minutes or adequate corporate records and failure to follow corporate formalities;
- (3) commingling of funds and other assets; (4) inadequate capitalization;
- (5) diversion of the corporation's funds or assets to non-corporate uses; (6) use of the same office or business location by the corporation and its shareholders;
- (7) overlapping ownership, officers, directors and personnel; (8) the amount of

business discretion displayed by the allegedly dominated corporation and (9) whether the corporations are treated as independent profit centers.

Rose Int'l, 29 S.R.R at 167-168. Among the factors the Commission has considered in piercing the corporate veil are: “the nature of the corporate ownership and control, the failure to maintain adequate corporate records and minutes, and the failure to follow corporate formalities, including the approval of stock issues by an independent board of directors.” *Ariel Mar. Group, Inc.*, 24 S.R.R. 517, 530 (FMC 1987).

Complainant contends that on “February 13, 2019, Respondent told Complainant to wire transfer payment to her personal bank account which was under her name ‘Michelle Franklin.’ On February 14, 2019, the money was transferred to Respondent Michelle Franklin’s personal account.” Complainant Brief at 10; C. App. Ex. 3. Respondent refused to answer Complainant’s discovery requests regarding business accounts, information exclusively under the control of Respondent.

Because Respondent failed to provide discovery, there is limited information in the record. Moreover, comments made by Respondent to Complainant lack credibility. However, given that Respondent’s contemporaneous statements are the most directly relevant evidence in the record, they are probative. On April 9, 2019, Respondent sent a long email which stated that the “booking was done under another company license, because I knew we may get to the point we have to close.” C. App. Ex. 27. She then explains problems with another shipment and says that “[s]ince I didn’t want your shipment to be effected in this process, I opened a bank account that was a business account, but had my name on it in order to be not associated it with the The Right Move, Inc financial burden.” C. App. Ex. 27. This statement that Respondent used a different, new account for this shipment is consistent with Complainant’s allegations. This evidence, coupled with her failure to produce discovery, establishes that this shipment involved Michelle Franklin’s personal bank account, separate from her regular company account, and is evidence of commingling of funds and inadequate capitalization.

Respondent’s refusal to provide discovery also supports findings proposed by Complainant that: Michelle Franklin is or was the sole owner of The Right Move, Inc.; from February 2019 to date, Michelle Franklin has been and still is the sole spokesperson, representative, owner, advocate, and employee of The Right Move; The Right Move has failed to observe corporate formalities in terms of documentation; The Right Move is not a separate entity from Michelle Franklin; The Right Move is or was taxed through Michelle Franklin’s personal tax returns; Michelle Franklin treated the funds and assets of the Right Move as her own; and, The Right Move was being used by Michelle Franklin as a façade for her personal financial dealings and not as a separate corporate entity. C. App. Ex. 3; Respondent’s failure to respond to Complainant’s discovery: Request for the Production of Documents and Interrogatories. These factors weigh in support of piercing the corporate veil and finding Michelle Franklin personally liable.

Respondent’s argument that the only way to compensate the Complainant is through the company bond addresses the issue of collecting any reparations awarded. The Commission does not assist with collections of reparations awards and the Complainant may seek any available

means to obtain compensation, including through the company bond (by contacting the bond company directly), from the Respondent, or other appropriate means. Moreover, Respondent's license was revoked for failure to maintain the bond. It is reasonable to conclude that the bond may not have been in force at the time of the shipment at issue and may not be available to pay the claim.

Although Michelle Franklin was sued in her own name, during the transactions at issue, she acted in the company's name. Therefore, it is necessary to pierce the corporate veil to find her personally responsible for any reparations. As discussed above, the evidence is sufficient to show that the corporate veil should be pierced. Accordingly, Michelle Franklin is liable in an individual capacity in addition to The Right Move for any reparations award.

b. Calculation of Damages

Complainant seeks a reparations award of \$5,985.40, including shipping charges, container demurrage charges, and costs incurred while in Karachi obtaining release of his cargo; \$73 in costs to file this complaint; and, \$2,595 in restitution of fees paid to Respondent. Complainant Brief at 8-9. Complainant has the burden of proving entitlement to reparations.

Respondent objects to the additional costs beyond the ocean freight, arguing that it was Complainant's inexperience which caused delays, and also argues, in contradiction, that the customs clearance process in Pakistan is difficult and 17 to 20 days is a reasonable amount of time to clear customs. Respondent's Response at 4-5.

Pursuant to section 11(g) of the Shipping Act, "[i]f the complaint was filed within the period specified in section 41301(a) of this title, the Federal Maritime Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part." 46 U.S.C. § 41305(b).

Commission case law states that: "(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation." *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (FMB 1950); see also *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003).

The statements of the Commission in [*California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990)] and the other cited cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principles that the fact of injury must be shown with reasonable certainty, that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be

reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc., 26 S.R.R. 788, 798-799 (ALJ 1992) (Admin. final 1992).

The evidence support's Complainant's argument that the delay in obtaining the cargo and additional costs from the delay were caused by Respondent's failure to pay the shipping charges, which led to a hold on the shipment, and promises to pay, which delayed Respondent from paying the shipping charges earlier. There is not sufficient evidence in the record to support Respondent's claims that the delay was caused by Complainant's inexperience, changes to the bill of lading, or that customs clearance could have started earlier.

Complainant seeks \$1,107.97 for the shipping charges that he paid and \$935 in container demurrage charges caused by the Respondent's delay. Complainant provides receipts supporting these amounts. C. App. Ex. 9, 10, 11, 12, 13, 41. The container in question was shipped to Pakistan and Complainant is not entitled to receive free shipping for his container. Complainant's request for the shipping charges he paid for his container is therefore denied. However, the evidence shows that the delay in obtaining the cargo was caused by Respondent's actions. Therefore, Complainant has provided sufficient evidence to support his claim for container demurrage charges, totaling \$935.

In addition, Complainant seeks costs incurred while in Karachi obtaining release of the cargo, including \$116.40 in taxi charges, \$2,350 for lodging, and \$1,476 for meals and incidentals. Complainant provides receipts for the taxi and lodging charges and refers to government regulations for the meals and incidental charges. C. App. Ex. 14, 41. Respondent's arguments regarding the time spent by Complainant are confusing, as she says both that 17-20 days is reasonable and that the delay was caused by Complainant's lack of knowledge. Her arguments are not convincing. On the other hand, Complainant attaches appropriate documentation and support for the time spent to retrieve his belongings clearly delayed by Respondent's failure to pay the shipping charges. Complainant has provided sufficient evidence to support his claim for costs obtaining release of his cargo, totaling \$3,942.40.

Complainant seeks compensation for the \$73 in costs to file this complaint. Although attorney fees may be awarded, costs for filing the complaint are generally not awarded as they are not part of the actual injury determination nor the attorney fees. Accordingly, the request for costs to file the complaint is denied.

Complainant also seeks restitution of the \$2,595 that he paid the Respondent on February 14, 2019, for this shipment. Complainant Ex. E. In addition to profit, a portion of this fee may have been for trucking from Alexandria, VA, to Baltimore's seagirt terminal or other charges, but because Respondent failed to provide evidence of these costs and refused to answer discovery related to transportation costs for the shipment, they cannot be deducted. C. App. Ex. 5. Complainant has provided sufficient evidence to support his claim for restitution, totaling \$2,595.

Complainant has established that his actual injury caused by Respondent's violation of the Shipping Act is in the amount of \$7,472.40 (\$935 container demurrage charges + \$3,942.40 taxi, meals, and lodging + \$2,595 shipping charges paid to Respondent). Respondent is ordered to pay reparations in the amount of \$7,472.40 to Complainant. The shipment arrived in Karachi, Pakistan, on March 31, 2019. C. App. Ex. 39. Therefore, interest on the reparation award runs from March 31, 2019, to be calculated by the Commission when this decision becomes administratively final. *See* 46 C.F.R. § 502.253.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that Muhammad Rana established that Michelle Franklin, also known as Michal Franklin or Micah Franklin, doing business as The Right Move, Inc., violated the Shipping Act, 46 U.S.C § 41102(a), it is hereby

ORDERED that Muhammad Rana's complaint for reparations against Michelle Franklin, also known as Michal Franklin or Micah Franklin, doing business as The Right Move, Inc., be **GRANTED**. It is

FURTHER ORDERED that Michelle Franklin and The Right Move, Inc. are jointly and severally ordered to pay Muhammad Rana reparations in the amount of \$7,472.40 with interest on the reparations award running from March 31, 2019. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**.



Erin M. Wirth
Chief Administrative Law Judge